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Case Number: NAIH-1141-11/2023

Subject: Decision rejecting the application

(NAIH-5879/2022.)

DECISION

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) [...] (hereinafter: Applicant) (represented by: [...] individual attorney; registered office: [...] ; hereinafter: legal representative) regarding the data processing conducted by the camera system installed on the facade of the residential building with number [...] (hereinafter: Residential Building) against [...] (hereinafter: Respondent) initiated in the data protection authority procedure – in which the Authority also granted the Residential Building party status – rejects the Applicant's application.

No administrative remedy is available against this decision, but it can be contested in an administrative lawsuit by submitting a statement of claim addressed to the Metropolitan Court within 30 days from the notification. The statement of claim must be submitted to the Authority electronically¹, which will forward it to the court along with the case documents. A request for a hearing must be indicated in the statement of claim. For those not fully exempt from personal fees, the administrative lawsuit fee is HUF 30,000, and the subject matter is subject to fee recording rights. Legal representation is mandatory in proceedings before the Metropolitan Court.

REASONING

I. Course of the procedure

(1) The Applicant, represented by a legal representative, submitted an application for a data protection authority procedure to the Authority on June 16, 2022, under case number NAIH-5879-1/2022.

(2) After reviewing the application, the Authority found that the application did not contain the mandatory substantive elements; therefore, in its decision dated August 15, 2022, case number NAIH-5879-2/2022, the Authority called upon the Applicant to remedy the deficiencies.

(3) The Applicant remedied the deficiencies of the application in its letter registered on August 31, 2022, under case number NAIH-5879-3/2022.

(4) The Authority notified the Respondent of the initiation of the data protection authority procedure in its decision dated September 14, 2022, case number NAIH-5879-4/2022, and called upon the Respondent to provide a statement for the clarification of the facts. In response to the Authority's decision, the Respondent requested an extension of the deadline for response in its letter registered on October 3, 2022, under case number NAIH-5879-5/2022.

(5) The Authority, in its decision dated October 25, 2022, case number NAIH-5879-6/2022, extended the deadline for response as requested by the Respondent.

¹ The form NAIH_K01 is used to initiate the administrative lawsuit: NAIH_K01 form (2019.09.16.)
The form can be filled out using the general form filling program (ÁNYK program).

The form is available at the following link: <https://naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>

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The Applicant subsequently responded to the Authority's questions in its letter dated November 3, 2022, with case number NAIH-5879-7/2022.

**** (6) ****

In its decision dated November 22, 2022, with case number NAIH-5879-8/2022, the Authority contacted the Clerk of [...] (hereinafter: Office) to check the circumstances of the data processing conducted by the Condominium as part of an official inspection, without prior notice, and in the event of failure, to conduct an on-site inspection with prior notice, and to provide information on the questions posed by the Authority.

**** (7) ****

The Clerk informed the Authority in a letter dated December 9, 2022, with case number NAIH-5879-9/2022, that during the on-site inspection held on December 1, 2022, without prior notice, the Office staff were unable to contact the Applicant and could not enter the Condominium. The Clerk sent a copy of the minutes prepared from the inspection to the Authority.

**** (8) ****

Subsequently, on January 12, 2023, the Clerk conducted an on-site inspection with prior notice. A record was made of the inspection, and a copy of this record was sent by the Clerk to the Authority, which was registered on January 16, 2023, under case number NAIH-1141-1/2023.

**** (9) ****

In a letter dated January 19, 2023, with case number NAIH-1141-2/2023, the Clerk informed the Authority that during the on-site inspection held on January 12, 2023, with prior notice, the Applicant made a statement and provided documents to the Office staff. The Clerk sent a copy of the documents handed over by the Applicant as an attachment to this letter, as well as again the minutes prepared by the Office staff from the on-site inspection and photographs of the camera system.

**** (10) ****

Considering that the data available to the Authority was insufficient for decision-making, the Authority, in its decision dated February 2, 2023, with case number NAIH-1141-3/2023, called upon the Applicant to make a statement again for the establishment of the facts.

**** (11) ****

The Applicant responded to the Authority in a letter dated February 20, 2023, with case number NAIH-1141-4/2023.

**** (12) ****

In its decision dated February 24, 2023, with case number NAIH-1141-5/2023, the Authority notified the Condominium that it had granted it party status in the data protection authority procedure, and that the evidentiary procedure had been completed, and drew its attention to the fact that it could become acquainted with the evidence uncovered during the clarification of the facts, taking into account the rules of document inspection, and could make further evidentiary proposals.

**** (13) ****

In its decision dated February 24, 2023, with case number NAIH-1141-6/2023, the Authority informed the Applicant that it had granted party status to the Condominium in the data protection authority procedure, and also that the evidentiary procedure had been completed, and drew its attention to the fact that it could become acquainted with the evidence uncovered during the clarification of the facts, taking into account the rules of document inspection, and could make further evidentiary proposals. The Authority provided the same information to the Applicant in its decision dated February 24, 2023, with case number NAIH-6072-7/2022.

**** (14) ****

The Applicant, in letters registered on March 16, 2023, with case number NAIH-1141-8/2023, and on March 17, 2023, with case number NAIH-1141-9/2023, wished to exercise its right to inspect documents by requesting electronic copies of the documents.

**** (15) ****

In its decision dated March 21, 2023, with case number NAIH-1141-10/2023, the Authority granted the Applicant's request for document inspection and provided access to the documents after rendering the

personal data that could not be disclosed unrecognizable.

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the documents that arose, not originating from the Respondent and not sent to the Respondent, in simple copy.

(16) After becoming acquainted with the documents, the Respondent did not submit any further statement or evidence proposal.

(17) The Applicant and the Condominium also did not submit any further statement, evidence proposal, and did not exercise their right to inspect documents.

II. Clarification of the Facts

(18) The Applicant, acting with legal representation, stated in their request for the data protection authority procedure that they are the owner of the properties located at numbers [...] and [...] in the Condominium.

(19) The Applicant further stated that the three buildings that make up the Condominium have been operating separately for decades, and the ownership communities of the individual buildings have elected their own common representatives over time, “who in many cases have disregarded what is stated in the founding document and treated the individual buildings as quasi-independent condominiums, which has led to an uncertain situation where it has not been clarified, for example, who the common representative of the condominium is, and to what extent the common representatives elected by the individual buildings can represent the condominium.”

(20) According to the Applicant, the common representative of the building at number [...] was elected without legal basis, and [...] installed a camera system consisting of four cameras on the building, which has been continuously operating since then, recording images from the entrance door, the garden gate, the vehicle parking area, and the garden.

(21) The Applicant stated that the Condominium has never made a decision regarding the installation of the camera system, nor is there any knowledge of such a provision concerning the partial assembly of the building at number [...]; however, in their opinion, even if there were such a decision, it would not meet the legal requirements due to its unlawful operation.

(22) The Applicant explained that the lawful operation of the Condominium was restored thereafter, and on December 16, 2021, the general assembly elected the Respondent as the common representative, who, according to the Applicant's position, qualifies as a data controller and data processor regarding the data processing performed by the camera system.

(23) The Applicant objected that there is no information board, sticker, or other notice regarding the operation of the camera system, and the residents are not aware of how the recorded footage is stored, for how long, and for what purpose it is used; consequently, the data controller has the opportunity to misuse personal data.

(24) According to the Applicant, the Respondent unlawfully records, processes, and stores personal data through the camera system installed on the building and neglects to communicate the necessary notices and information in this regard. The Applicant asserts that the Respondent has not fulfilled the information obligation set out in Article 13(1)-(2) of Regulation (EU) 2016/679 (hereinafter: General Data Protection Regulation) concerning the protection of natural persons with regard to the processing of personal data and the free movement of such data, as well as the requirement under Article 12(1) of the General Data Protection Regulation that the information be concise, transparent, intelligible, and easily accessible, in a written form that is clear and plain.

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(25) The Applicant requested the Authority to establish the fact of the infringement, to inform about it, and to hold the data controller and data processor liable, as well as to order the removal of the camera system and to prohibit the data controller from further infringements.

(26) The application was accompanied by photographs aimed at depicting the location of the cameras

and the lack of information, as well as the Applicant's birth certificate, the authorization of the Representative, and the property deeds of the properties owned by the Applicant.

(27) According to the statement registered on November 3, 2022, with case number NAIH-5879-7/2022, the Respondent stated that the camera system is not operational and attached a report issued by a security technology engineer to their response letter, which indicated that the condominium has a camera system consisting of four cameras, equipped with an Eurovideo type recording unit; however, the cameras have not been operational for a long time due to their condition, and the hard drive built into the recording unit is also faulty, therefore no recorded footage is available.

(28) However, none of these statements recorded in the report were substantiated. To accurately ascertain the facts, it was necessary to examine the authenticity of the information provided during the proceedings; therefore, the Authority contacted the Clerk to verify the circumstances of the data processing conducted by the Condominium through an on-site inspection and to provide information on the questions posed by the Authority.

(29) Following an unsuccessful on-site inspection held on December 1, 2022, without prior notice, the Clerk conducted another on-site inspection on January 12, 2023, with prior notice. Based on the information gathered during the inspections, it was established that four Eurovideo type cameras were installed in the Condominium before the selection of the Respondent, but they are not operational. The inoperability of the cameras was confirmed by the expert present at the inspection, who stated in their declaration that the "otherwise inoperable recording unit was turned off / disconnected by the common representative." Additionally, it was recorded in the report that there is no warning sign regarding data processing, nor is there a data protection information notice displayed on the premises.

(30) The Clerk also sent the reports prepared by the Office staff regarding the on-site inspections to the Authority, as well as photographs of the camera system. Based on all this information gathered from the inspections, it cannot be established that the cameras are operational.

(31) In a letter registered on February 20, 2023, with case number NAIH-1141-4/2023, the Respondent further stated that the cameras are not capable of live image transmission, as neither the cameras nor the recording unit are operational. The camera system could not have recorded footage previously either. No one operates the camera system. No other documents are available; the camera system was installed years ago when the Respondent took over the Condominium, and the system no longer had an operator.

III. Applicable Legal Provisions

(32) According to Article 2(1) of the General Data Protection Regulation, the General Data Protection Regulation must be applied to the processing of personal data that is carried out in whole or in part by automated means, as well as to the processing of personal data that is not carried out by automated means but forms part of a filing system or is intended to form part of a filing system.

(33) According to Section 2(2) of Act CXII of 2011 on the Right to Informational Self-Determination and Freedom of Information (hereinafter: Infotv.), the General Data Protection Regulation must be applied with the supplements specified in the provisions indicated therein.

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(34) According to Section 60 (1) of the Infotv. (Information Act), in order to ensure the right to the protection of personal data, the Authority shall initiate a data protection authority procedure upon request and may also initiate a data protection authority procedure ex officio. The provisions of Act CL of 2016 on the general rules of administrative procedure (hereinafter: Ákr.) shall apply to the data protection authority procedure, with the supplements defined in the Infotv. and the deviations according to the General Data Protection Regulation.

(35) According to Section 60 (2) of the Infotv.: "A request for the initiation of a data protection authority procedure may be submitted in the cases specified in Article 77 (1) and point b) of Article 22 of the General Data Protection Regulation."

(36) According to Article 77 (1) of the General Data Protection Regulation: “Without prejudice to any other administrative or judicial remedy, every data subject shall have the right to lodge a complaint with a supervisory authority – in particular in the Member State of their habitual residence, place of work or place of the alleged infringement – if the data subject considers that the processing of personal data relating to them infringes this Regulation.”

(37) According to point 1 of Article 4 of the General Data Protection Regulation: “personal data”: any information relating to an identified or identifiable natural person (‘data subject’); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, an identification number, location data, an online identifier or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural or social identity of that natural person.”

(38) According to point 2 of Article 4 of the General Data Protection Regulation: “processing”: any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure or destruction.”

(39) According to point 7 of Article 4 of the General Data Protection Regulation: “controller”: the natural or legal person, public authority, agency or any other body which, alone or jointly with others, determines the purposes and means of the processing of personal data; where the purposes and means of such processing are determined by Union or Member State law, the controller or the specific criteria for the designation of the controller may also be provided for by Union or Member State law.”

(40) According to Article 5 of the General Data Protection Regulation: “(1) Personal data shall be:

- a) processed lawfully, fairly and in a transparent manner in relation to the data subject (‘lawfulness, fairness and transparency’);
- b) collected for specified, legitimate purposes and not further processed in a manner that is incompatible with those purposes; further processing for archiving purposes in the public interest, scientific or historical research purposes or statistical purposes shall not be considered incompatible with the original purposes in accordance with Article 89 (1) (‘purpose limitation’);
- c) adequate, relevant and limited to what is necessary in relation to the purposes for which they are processed (‘data minimization’);
- d) accurate and, where necessary, kept up to date; every reasonable step must be taken to ensure that personal data that are inaccurate, having regard to the purposes for which they are processed, are erased or rectified without delay (‘accuracy’);
- e) kept in a form which permits identification of data subjects for no longer than is necessary for the purposes for which the personal data are processed; personal data may be stored for longer periods only if the

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The processing of personal data shall take place in accordance with Article 89(1) for the purpose of public interest archiving, scientific and historical research, or statistical purposes, taking into account the implementation of appropriate technical and organizational measures prescribed in this regulation for the protection of the rights and freedoms of the data subjects (‘limited storage’);

f) the processing shall be carried out in such a way that the appropriate technical or organizational measures ensure the proper security of personal data, including protection against unauthorized or unlawful processing, accidental loss, destruction, or damage (‘integrity and confidentiality’).

(2) The data controller is responsible for compliance with paragraph (1) and must be able to demonstrate such compliance (‘accountability’).

(41) According to Article 6(1) of the General Data Protection Regulation: “The processing of personal data is lawful only if and to the extent that at least one of the following applies:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) the processing is necessary for the performance of a contract to which the data subject is a party, or

for taking steps at the request of the data subject prior to entering into a contract;

- c) the processing is necessary for compliance with a legal obligation to which the data controller is subject;
- d) the processing is necessary to protect the vital interests of the data subject or of another natural person;
- e) the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;
- f) the processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular if the data subject is a child.

The first subparagraph point f) shall not apply to the processing of personal data by public authorities in the performance of their tasks.”

(42) According to Section 61(1) of the Infotv., the Authority may apply the legal consequences specified in the General Data Protection Regulation in its decision. According to Article 58(2) of the General Data Protection Regulation: “When exercising its corrective powers, the supervisory authority:

- b) shall impose an administrative fine on the data controller or the processor if their processing activities have infringed the provisions of this Regulation;
- d) shall instruct the data controller or the processor to bring processing operations into compliance with the provisions of this Regulation – in a specified manner and within a specified time, where appropriate;
- f) shall impose a temporary or definitive limitation on processing, including a ban on processing.”

(43) According to Sections 25(1)-(2) of the Thtv: “(1) The establishment and operation of an electronic surveillance system (hereinafter: camera system) designed for the monitoring of jointly owned parts of buildings, premises, and areas may be decided by the general meeting with the affirmative votes of owners holding at least two-thirds of the ownership shares. In this case, the organizational and operational regulations must include the data processing rules necessary for the operation of the camera system, established in accordance with the provisions on the protection of personal data. (2) The operator of the camera system may be a person defined in the law on personal and property protection, as well as private investigation activities, based on a contract concluded by the common representative or the management committee.”

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(44) According to Section 1, Paragraph (3) of Act CXXXIII of 2005 on the rules of personal and property protection, as well as private investigation (hereinafter: Szvtv.): “Personal and property protection activities may only be carried out personally by those who possess one of the following qualifications:

- a) security guard,
- b) bodyguard,
- c) property guard, or
- d) security organizer.”

IV. Decision

(45) Based on the definitions in the General Data Protection Regulation, a person's face, image, and actions visible in the recording are considered personal data, and the act of making the recording, as well as any operation performed on the personal data, is classified as data processing.

(46) The main rules regarding the establishment and operation of cameras in condominium buildings are contained in the General Data Protection Regulation and Section 25 of the Thtv.

(47) A camera system in a condominium can be applied based on the principle of purpose limitation of data processing as defined in Article 5(1)(b) of the General Data Protection Regulation for a lawful purpose, provided that the given purpose cannot be achieved by other means, that the use of technical equipment is absolutely necessary for this purpose, and that it does not result in an unreasonable

restriction of the right to informational self-determination.

(48) An additional requirement for data processing related to camera surveillance conducted by the condominium as a data controller is that the establishment and operation of an electronic surveillance system, built with a closed system technical solution for monitoring common property areas, rooms, and spaces, must be decided by the general assembly with the affirmative vote of co-owners holding at least two-thirds of the ownership shares. Therefore, the affirmative vote of co-owners holding two-thirds of the ownership shares is required for a valid decision regarding the establishment and commissioning of the camera system, rather than a majority or two-thirds of the co-owners present at the general assembly.

(49) The camera system must not target the entrance or other openings of a privately owned apartment or non-residential premises, even if it is located on common property, building parts, or areas. The camera system cannot be placed in common property and in areas jointly used by co-owners where monitoring could violate human dignity due to the nature of the room (e.g., changing room, restroom).

(50) Another requirement is that the organizational and operational regulations of the condominium must include the data processing rules necessary for the operation of the camera system, established in accordance with the provisions on the protection of personal data. In addition, individuals intending to enter or stay in a building, building part, or area monitored by the camera system must be informed of the necessary information regarding the protection of personal data, particularly about the existence of the camera system, the rights of the data subjects, the identity of the operator, and their contact details.

(51) Furthermore, based on a contract concluded by the common representative or the management board, the operator of the camera system may be a person defined in the Szvtv.

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(52) Cameras can be operated in condominium buildings based on these rules. In the present case, according to the Applicant, the Condominium and the partial assembly of the building at [...] did not make a decision regarding the installation and operation of the system. The Respondent also does not have any documents regarding this matter and, according to their statement, the Condominium does not have an operational contract, consequently, they do not operate the camera system either.

(53) The examination of the circumstances surrounding the installation of the four cameras is not the subject of this procedure; the Applicant objected that the camera system unlawfully records, processes, and stores personal data, and there are no notices or information regarding data processing.

(54) However, based on the statements presented to the Authority and the on-site inspections conducted by the Notary, it can be established that none of the four cameras installed by the previous common representative, [...] on the building at [...] are operational, and both the cameras and the recording unit have become irreparably inoperable. No contrary information is available to the Authority, and the Applicant has not presented any evidence to substantiate their claims. Therefore, the cameras neither transmit live images nor record footage, thus they are not suitable for processing personal data and do not perform any data processing.

(55) Consequently, the Authority rejects the Applicant's request due to the absence of data processing and, consequently, a violation of data protection laws.

V. Other Questions

(56) The Authority's jurisdiction is defined by Section 38 (2) and (2a) of the Infotv., and its competence extends to the entire territory of the country.

(57) The Authority's current decision is based on Sections 80-81 of the Ákr. and Section 61 (1) of the Infotv. The decision becomes final upon its communication based on Section 82 (1) of the Ákr. According to Section 112 of the Ákr., and Section 116 (1) and (4) d) of the Ákr., as well as Section 114

(1) of the Ákr., there is a possibility for legal remedy against the decision through administrative litigation.

(58) The rules of administrative litigation are defined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12 (1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13 (3) a) aa) of the Kp., the Metropolitan Court is exclusively competent for the case. According to Section 27 (1) b) of the Kp., in a legal dispute where the court is exclusively competent, legal representation is mandatory. According to Section 39 (6) of the Kp., the submission of the statement of claim does not have a suspensive effect on the validity of the administrative act.

(59) Section 29 (1) of the Kp. and, in this regard, Section 604 of Act CXXX of 2016 on Civil Procedure is applicable, and according to Section 9 (1) b) of Act CCXXII of 2015 on Electronic Administration and Trust Services, the client's legal representative is obliged to maintain electronic communication.

(60) The time and place for submitting the statement of claim are determined by Section 39 (1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77 (1)-(2) of the Kp.

(61) The amount of the administrative litigation fee is determined by Section 45/A (1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The party initiating the procedure is exempt from the advance payment of the fee under Section 59 (1) and Section 62 (1) h) of the Itv.

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(62) The Authority has exceeded the one hundred and fifty-day administrative deadline set forth in Section 60/A (1) of the Infotv. during the procedure, therefore, based on Section 51 b) of the Ákr., it will pay ten thousand forints to the Applicant – at their choice – by bank transfer or postal voucher.

Dated: Budapest, June 19, 2023.

Dr. habil. Attila Péterfalvi

President

University Professor